

the first time, included blue-collar workers and drivers under age 21, two groups with checkered histories. Both of these strategic changes, the corporate expansion plan and the plan to insure a greater number of motorists, occurred simultaneously with the lifting of the country's 1973 price controls. Soon, auto repair and medical care costs exploded.

Underwriting losses at GEICO began to appear in the fourth quarter of 1974. For the year, the company reported a \$6 million underwriting loss, its first in 28 years. Amazingly, the premium-to-surplus ratio that year was 5:1. Nonetheless, the company continued to pursue growth, and by the second quarter of 1975, GEICO reported more losses and announced it was eliminating the company's \$0.80 dividend.

Gidden employed the consulting firm of Milliman & Robertson to make recommendations on how GEICO could reverse its slide. The results of the study were not encouraging. The company, the consultants said, was underreserved by \$35 million to \$70 million and would need a capital infusion to stay viable. The board accepted the consultants' study and made the announcement to its shareholders. In addition, the board projected that 1975's underwriting loss would approach a staggering \$140 million (the actual result was \$126 million). Shareholders and insurance regulators were dumbfounded.

In 1972, GEICO's share price had reached a high of \$61. By 1973, the share price was cut in half, and in 1974, it fell further to \$10. In 1975, when the board announced the projected losses, the stock dropped to \$7. Several stockholders, charging fraud, filed class-action suits against the company. Executives at GEICO blamed inflation and outrageous legal and medical costs for the company's woes. But these problems confronted all insurers. GEICO's problem was that it had moved away from its successful tradition of insuring only careful drivers. Furthermore, it was no longer checking corporate expenses. As the company expanded the list of insured drivers, its earlier loss assumptions were woefully inadequate to cover new and more frequent claims. At a time when a company was underestimating its insured losses, it simultaneously was increasing fixed expenses.

At the March 1976 GEICO annual meeting, Gidden confessed that another president might have handled the company's problems better. He announced that the company's board of directors had appointed a